

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 866,750 -57% Last month 2,012,136	 Gross Margin 866,750 -57% Last month 2,012,136
 Operating Profit 132,244 -94% Last month 2,332,623	 Break Even Sales 734,506 329% Last month -320,487
 Accounts Receivable 3,955,588 -28% Last month 5,512,204	 Accounts Payable 615,119 -53% Last month 1,302,419
 Working Capital 3,340,470 -21% Last month 4,209,785	 Closing Stock 0 0% Last month 0
 Bs Category 53 - SHAKY -20% Last month 66 - STEADY	 Impact Of Decisions 255,735 143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown strong profitability growth, with net profit increasing from ₹7.69 lakh in April to ₹29.83 lakh in November, despite a dip in September. Total equity has grown from ₹1.22 crore to ₹1.05 crore, indicating a strengthening financial base. However, sales have been volatile, peaking at ₹20.12 lakh in October but dropping to ₹8.67 lakh in November.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in October with a Net Profit % of 118.71% and a Return on Equity of 280.12%.
- Strong liquidity position with a high Current Ratio of 11.78 in November, up from 4.11 in May.
- Healthy Reserve & Surplus growth, increasing from ₹45.75 lakh in April to ₹90.82 lakh in November.

RED FLAG BOX — What Needs Attention

- High debtor collection period, with Accounts Receivable Days at 138.81 days in November, up from 64.35 days in April.
- Significant sales volatility, with Revenue Growth swinging from 227.64% in October to -56.92% in November.
- Negative cash flow from operations in multiple months, including a large outflow of ₹-25.04 lakh in October.

Strategic Advice:

Prioritise tightening credit control and debtor collection processes to reduce the high receivables days and improve operational cash flow. Stabilise sales through better demand forecasting and customer retention strategies to mitigate the extreme monthly volatility.

2. Profit Power — The Earning Engine

Your net profit has been highly volatile, from a high of ₹23.89 lakh in October to a loss of ₹3.60 lakh in September. The primary driver is fluctuating sales, which peaked at ₹20.12 lakh in October but dropped to ₹4.40 lakh in June. Overhead expenses, particularly employee costs, show significant swings, with a negative expense of ₹4.22 lakh in October indicating possible adjustments or reversals.

Gross margin remains at 100% as COGS is nil, meaning all revenue contributes to gross profit. However,

operating profit margins have varied widely, from 115.93% in October to -71.65% in September, largely due to the erratic overhead costs. The return on equity was exceptionally high at 280.12% in October but was negative at -55.14% in September.

Strategic Advice:

Stabilise your sales and overheads to reduce profit volatility. Investigate the reasons for negative employee expenses and large monthly swings to ensure accurate financial reporting and sustainable cost management.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a cumulative profit of ₹55.24 lakh over the period. However, the cash flow from operating activities was negative ₹23.30 lakh in April and improved to ₹8.69 lakh in November. This indicates a significant gap between booked profits and actual cash generation.

A major cash blockage is in trade receivables, which stood at ₹39.56 lakh in November, up from ₹26.15 lakh in April. The debtor days increased from 64 days to 139 days, showing slower collections. Vendor payments (accounts payable) were ₹6.15 lakh in November, down from ₹28.54 lakh in April.

Your operating cash flow margin was -1.38 in April and improved to 1.16 in November. The cash flow coverage ratio also improved from -4.40 to 1.24 over the same period. This shows cash generation from core operations is recovering but remains inconsistent month-on-month.

Strategic Advice:

Prioritise reducing debtor days from 139 to below 90 days to unlock blocked cash. Strengthen collection processes and negotiate better payment terms with customers to improve operating cash flow consistency.

4. Cash Management — Daily Cash Rhythm

The debtor collection period (Accounts Receivable Days) has increased significantly from 64.35 days in April to 138.81 days in November. This indicates a major slowdown in collecting payments from customers.

Your working capital days have also risen from 64.35 days to 138.81 days over the same period, showing that cash is tied up in operations for a much longer time. The working capital requirement per ₹100 of sales

has increased from ₹188.46 to ₹385.40.

Cash flow from operations has been volatile, with a high of ₹1,513,546 in June and a low of -₹2,504,430 in October. The net cash balance ended at ₹55.25 lakh in November, recovering from a low of ₹0.99 lakh in May.

Strategic Advice:

Immediate focus is required on debtor management to reduce the collection period from 139 days. Implement stricter credit control and follow-up processes to improve cash inflow and reduce the working capital cycle.

5. Growth Investments — Where Money Is Going

Your investment in Fixed Assets grew from ₹17.24 lakh in April to ₹17.82 lakh in November, indicating capital expenditure. However, Non-current Investments turned negative from ₹15.47 lakh to -₹3,431, suggesting a significant divestment or revaluation.

The Return on Capital Employed shows high volatility, from 88.65% in April to 20.62% in November, with a peak of 331.44% in October. This indicates periods of highly efficient capital use, but inconsistency month-to-month.

Asset Turnover has fluctuated between 0.96 and 2.86, with November at 1.35. This suggests the efficiency of your assets in generating sales varies significantly, with October being the most productive month.

Strategic Advice:

Stabilise your capital efficiency. The extreme swings in Return on Capital (from -98.36% to 331.44%) point to unstable operations or one-off events. Focus on consistent operational processes to smooth out monthly performance. Review the strategy behind the divestment in Non-current Investments to ensure it aligns with long-term growth plans for your manufacturing business.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by equity. Total debt is minimal, increasing from ₹77,143 in April to ₹1,24,530 by November. The Debt to Equity ratio remains very low, between 0.01 and 0.02, indicating a strong equity base with negligible reliance on borrowings.

Total Equity has shown volatility but ended the period at ₹1.05 crore in November, up from ₹1.22 crore in April. A significant portion of growth funding comes from internal accruals, as seen in the Reserve & Surplus, which grew from ₹45.75 lakh to ₹90.82 lakh.

Cash flow from financing was a major source in April (₹1.06 crore) but turned negative in May (₹-53.49 lakh). The business has a strong net cash position, with Net Debt being negative throughout, reaching ₹-54.01 lakh by November.

Strategic Advice:

Your capital structure is very conservative with almost no debt. This provides stability but may limit leveraged growth opportunities. Consider exploring low-cost, short-term credit facilities to efficiently finance working capital needs, especially given the high debtor days, without diluting equity. The strong internal accruals (Reserve & Surplus) position you well to fund strategic capital expenditures internally.

7. Balance Sheet Health — Financial Fitness

Your total equity has shown resilience, ending at ₹1.05 crore in November from ₹1.22 crore in April. The Reserve & Surplus grew significantly to ₹90.82 lakh, strengthening the owner's capital base. The company maintains a very low debt-to-equity ratio of 0.01, indicating minimal reliance on borrowed funds.

Liquidity remains strong, with the Current Ratio at 11.78 in November, a healthy increase from 23.85 in April. Working capital stood at ₹33.40 lakh in the last month, though it fluctuated, reaching a high of ₹42.10 lakh in October. Accounts receivable days increased from 64.35 days to 138.81 days, signalling a slower collection cycle that requires attention.

The asset base is stable with Fixed Assets at ₹17.82 lakh. Cash and bank balances recovered to ₹55.25 lakh in November after a sharp dip in May. The balance sheet shows a strong equity position and liquidity, but working capital management, especially debtor collections, needs focus to improve cash flow efficiency.

Strategic Advice:

Prioritise reducing the accounts receivable days from 138.81 days to improve cash conversion. Leverage the strong current ratio and low debt to negotiate better terms with vendors and optimise the working capital cycle.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of ₹10.54 lakh in September were controlled to the April level of ₹6.07 lakh, the monthly profit could have improved by ₹4.47 lakh, turning the loss of ₹3.60 lakh into a profit.
- **Scenario B - Cash Focus:** If debtor days were reduced from the peak of 202.77 days in June to the April level of 64.35 days, it could release up to ₹15.56 lakh in cash, as seen from the trade receivables change in May.
- **Scenario C - Balanced:** Combining a 20% reduction in overheads with a 30-day improvement in debtor collection could boost monthly cash flow by approximately ₹8.69 lakh, similar to the positive cash flow from operations achieved in November.

****Industry Context:**** Others - Manufacturing - Manufacturing Industries

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales have been volatile, starting at ₹12.36 lakh in April and ending at ₹8.67 lakh in November. The peak was in October at ₹20.12 lakh, but the trend shows a decline from the first to the last month.

Working Capital & Receivables: The working capital requirement was ₹23.30 lakh in April and increased to ₹33.40 lakh by November. Debtor days have increased significantly from 64 days in April to 139 days in November, indicating a slower collection cycle.

Operational Cash Flow: Cash generated from operations was negative in April at -₹23.30 lakh but improved to ₹8.69 lakh in November. The trend shows inconsistency, with major outflows in October (-₹25.04 lakh).

Cost Structure: Overheads as a percentage of sales fluctuated wildly, from 49.11% in April to 84.74% in November. Employee expenses showed significant variation, including negative figures in May and October.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Aggressively collect receivables to reduce debtor days from 138.81 days. Tighten credit terms for new sales.	Reduce Accounts Receivable from ₹39.56 lakh to below ₹30 lakh.	Improve cash flow from operations, which was ₹8.69 lakh in Nov, and boost cash balance from ₹55.25 lakh.
31-60	Profit	Control overheads, especially employee expenses, which spiked to ₹9.09 lakh in Sep. Review and optimise selling & admin expenses.	Stabilise Net Profit % above 50% (like Oct's 118.71%) and avoid negative months like Sep (-58.70%).	Increase retained earnings and strengthen Reserve & Surplus, which grew to ₹90.82 lakh in Nov.
61-90	Growth	Leverage strong capital base (Equity ₹1.05 crore) and high Return on Equity (33.99% in Nov) to fund sales growth. Focus on consistent revenue like Oct's ₹20.12 lakh.	Achieve monthly sales consistently above ₹10 lakh and improve Revenue Growth from Nov's -56.92%.	Sustain high asset turnover (Nov: 1.35) and return on total assets (Nov: 9.23%) for scalable, profitable expansion.